The Big Bio Boost

The budget lays the foundation for India to acquire global supremacy in the manufacture of biosimilars

By M.G. ARUN

INDUSTRY SIZE
$12 BILLION
(₹1.08 lakh crore)

BUDGET ALLOCATION
₹10,000 CROORE



SHUTTERSTOCK

When Union finance minister Nirmala Sitharaman rose to present her ninth budget, expectations were she'd announce big-ticket reforms to strengthen industry and create jobs. Instead, she focused on a clutch of new-economy sectors expected to lead India's journey towards Viksit Bharat. These were backed by targeted policy interventions and multi-year, sometimes even multi-decadal, investment push. All this was done while keeping fiscal discipline intact, with the fiscal deficit projected at 4.3 per cent of GDP in FY27.

The budget identified sectors such as biopharma, semiconductors and rare earths as strategic priorities, with the Narendra Modi government seeking to create national champions that will make India self-reliant and, over time, help the country become a prominent player in the global value chain. For the first time, it also formally recognised the 'orange economy' of online content creators as a distinct pillar of India's economic strategy, framing it as the next frontier of employment and exports.

Next came the thrust on linking jobs with skills, an area of sustained focus for the government. Education was reframed as productive infrastructure for a services-led economy, with academic ecosystems rather than isolated campuses.

The third prong of the strategy centred on logistics, construction and transport. Tier-2 and Tier-3 cities with populations exceeding 500,000 will now be treated as emerging economic hubs. Connectivity here will be driven by seven high-speed corridors designed to widen labour catchments, promote transit-oriented development and unlock fresh real-estate potential.

Taken together, these measures mark a clear departure from the "please-all" budgets of the past. In the following pages, we examine 10 of the forward-looking sectors that the finance minister has focused on, and how they will transform India's growth trajectory.

Taking cognisance of the fact that India's disease burden is shifting toward non-communicable diseases such as diabetes, cancer and autoimmune disorders, Union finance minister Nirmala Sitharaman addressed the next frontier in drug manufacturing: biopharma. 'Biopharma SHAKTI' (Strategy for Healthcare Advancement through Knowledge, Technology and Innovation), the initiative she announced in the budget, proposes to develop India as a global manufacturing hub for biologics, or medicines derived from the living cells of humans, animals and micro-organisms.

"Biologic medicines are key to longevity and quality of life at affordable costs," the FM said, while allocating Rs 10,000 crore for the programme. India's strength lies in biosimilars, which mimic the structure and function of existing biologic medicines and are therefore cheaper. This is hardly surprising as India has already made a mark on the world stage in producing